

Corporate Actions & Income Processing

A plain-language digest for the Business Analyst / Product Owner

Interview prep — Corporate Actions & Securities Services · income & entitlement lifecycle · impact on shareholder equity

Mandatory · Voluntary · Mandatory-with-choice

Announcement → Entitlement → Election → Payment → Recon → Tax → Reporting

ISO 15022 / ISO 20022

How to read this. Everything is in simple words first, with the exact industry term in **highlight** so you can say it in the room. Legend for event type: **MAND** mandatory · **CHOICE** mandatory with choice · **VOL** voluntary.

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1 · The big picture in one page

A **corporate action** (CA) is any event initiated by a company (the **issuer**) that changes the securities it has issued or pays something out on them. Two families:

- **Income / benefit events** — the company distributes *value*: cash dividends, bond coupons (interest), capital repayments. This is what "**income processing**" is about.
- **Non-income / restructuring events** — the company changes the *structure* of the security: splits, mergers, name changes, rights issues.

The custodian/servicing bank sits in the middle. Its job is to make sure every client who holds the security on the right date gets **exactly the right cash or shares, on the right day, taxed correctly, and reconciled to the penny**. The BA's job is to translate that promise into rules, data, messages and controls that a system can run at scale.

The three-line elevator answer (memorise this):

1. We **capture** the event from issuer/agent and market data, and build one trusted **golden record**.
2. We work out **who is entitled** from settled positions on **record date**, collect any **elections**, and **calculate** each client's entitlement.
3. We **pay** it, apply **tax**, **reconcile** against the market/agent, handle **claims**, and **report**.

2 · Every corporate action, grouped & defined

2.1 Income events (the core of income processing)

Event	Type	Plain meaning
Cash Dividend (DVCA)	MAND	Company pays cash per share out of profits. Holder gets money, does nothing.
Optional / Scrip Dividend (DVOP)	CHOICE	Take the dividend as cash <i>or</i> as new shares. Holder must elect; a default applies if silent.
Stock Dividend (DVSC)	MAND	Dividend paid in additional shares instead of cash. No choice.
Coupon / Interest Payment (INTR)	MAND	Periodic interest on a bond. Fixed or floating rate × face value × day-count.
Redemption / Maturity (REDM)	MAND	Bond reaches maturity; principal (face value) is repaid and the security is extinguished.
Partial Redemption (PCAL / PRED)	MAND	Issuer repays part of the principal early — by pool factor (pro-rata) or by lottery/drawing.
Capital Repayment / Return of Capital (CObase/CAPD)	MAND	Company gives back capital to shareholders — reduces equity, not a profit distribution.
Interest on Maturity / PIK	MAND	Payment-in-kind: interest paid as more bonds/units rather than cash.

2.2 Reorganisation / restructuring events

Event	Type	Plain meaning
Stock Split / Subdivision (SPLF)	MAND	1 share becomes many (e.g. 1→2). Price halves. Total value unchanged.
Reverse Split / Consolidation (SPLR)	MAND	Many shares become one (e.g. 10→1). Price rises proportionally.
Bonus / Capitalisation Issue (BONU)	MAND	Free extra shares from reserves. Reserves move to share capital; total equity unchanged.
Rights Issue (RHTS)	CHOICE	Right to buy new shares at a discount, pro-rata. Rights are tradeable. Elect to take up, sell, or lapse.
Merger / Amalgamation (MRGR)	MAND	Two companies combine; old shares convert to new (and/or cash) at a ratio.
Takeover / Tender Offer (TEND)	VOL	Acquirer offers to buy shares at a set price; holder elects to tender or keep.
Spin-off / Demerger (SOFF)	MAND	A business unit becomes a separate listed company; holders receive its shares.
Exchange / Conversion (EXOF / CONV)	VOL	Swap one security for another (e.g. convertible bond → equity) on the holder's choice.
Name / ISIN Change, Redenomination (CHAN)	MAND	Security's identifier, name or currency changes; economics unchanged.
Pari-passu / Assimilation	MAND	A new line of shares merges into an existing line and starts trading as one.

The one distinction interviewers test: mandatory events happen to the holder automatically — **no instruction** needed. Mandatory-with-choice and voluntary events need the holder to **make an election**

by a **market/response deadline** ; if they don't, a **default option** is applied. Elections are where operational risk and client SLAs concentrate — so they get the most attention in a target operating model.

2.3 Mandatory vs Choice vs Voluntary — made simple

This is the one people muddle, so here is the trick that removes all doubt. Ask a single question about every event:

“What happens to me if I do nothing?”

The answer tells you the type every time:

Type	If you do NOTHING...	In one line
MANDATORY	Something happens anyway. You had no say at all.	It's done <i>to</i> you. No election, no options. You just receive the result.
CHOICE (mandatory with options)	Something still happens — you get the default option. You're in no matter what; you only pick the flavour.	You <i>will</i> participate. The only question is <i>how</i> you receive it (e.g. cash or shares). Stay silent → default applied.
VOLUNTARY	Nothing happens. You keep your position untouched. You must actively opt in to take part.	It's an <i>offer</i> . Ignore it and you simply miss it. You must instruct to participate.

The heart of **CHOICE** vs **VOLUNTARY** in one sentence:

CHOICE = “You're getting something — pick which.” (silence = you still get the default)

VOLUNTARY = “Here's an opportunity — take it or leave it.” (silence = nothing, you keep what you had)

CHOICE examples — you participate no matter what, you only choose *how*

Example A — Optional / scrip dividend. You hold **1,000 shares**. The company declares a dividend of **£0.50 per share**, and offers two ways to take it:

- **Option 1 (default):** take the **cash** → $£0.50 \times 1,000 = \text{£}500$ in cash.
- **Option 2:** take **new shares** instead → say **~50 new shares** worth about £500.

Whatever you do, you end up with ~£500 of value. If you send no instruction, the bank applies the default (cash) and you get your £500. **You can never walk away with nothing** — that's what makes it “mandatory with choice.”

- **Dividend Reinvestment Plan (DRIP)** — same idea: take the dividend as cash or automatically buy more shares with it.
- **Currency-option dividend** — the dividend is offered in, say, GBP or USD; you pick the currency, and a default currency applies if you stay silent. You still get paid either way.

VOLUNTARY examples — nothing happens unless you opt in

Example B — Takeover / tender offer. Your shares trade around **£10**. An acquirer offers to **buy them at £12** each. You hold **1,000 shares**.

- **You opt in (tender):** instruct to sell → you receive $\text{£}12 \times 1,000 = \text{£}12,000$ and give up the shares.
- **You do nothing:** you **keep your 1,000 shares**. Nothing changes on your account.

The event does **not** touch your holding unless you actively say “yes.” Miss the deadline and you simply keep the shares — and lose the chance at the £2/share premium.

- **Share buyback / repurchase offer** — company offers to buy back stock; opt in to sell, or keep your shares.

- **Convertible bond conversion** — turn your bond into (say) 20 shares if you want; do nothing and you keep the bond earning interest.
- **Exercise of rights / warrants** — use them to buy discounted shares, or let them lapse.
- **Bondholder consent / tender for cash** — vote or accept an offer; ignore and your bond is unchanged.

The one that trips everyone up — a rights issue is really two events back-to-back:

1. **The rights arrive automatically** = **MANDATORY** distribution. You didn't ask for them; they just appear in your account (e.g. one right per share held).
2. **What you do with the rights** = **VOLUNTARY**. You choose to (a) **exercise** — pay the discounted price and get new shares, (b) **sell** the rights in the market for cash, or (c) **let them lapse** (do nothing).

Because you *always* receive the rights but *choose* whether to act, banks often bucket the whole thing under "mandatory with choice." If you say "the distribution is mandatory, the exercise is voluntary," you'll sound like you actually process these.

Why a BA/PO cares about the difference (this is the real point):

- Both CHOICE and VOLUNTARY need **elections + deadlines** — so both carry the operational risk. Mandatory events don't need an instruction at all.
- But the **consequence of a missed deadline differs**, and the system must handle each:
 - Miss a **CHOICE** deadline → the **default** is applied (client still gets value, but maybe not the option they wanted).
 - Miss a **VOLUNTARY** deadline → **nothing happens** — and if the offer had value (a tender premium, a valuable conversion), the client has **lost that opportunity**. That's often a compensation claim against the bank.
- So voluntary events with real economic value get the tightest SLAs, the loudest chasers, and the biggest place in a target operating model.

2.4 Quick numeric examples for the mandatory events too

Stock split 2-for-1. You hold 100 shares at £20 (= £2,000). After the split you hold **200 shares at £10** (= £2,000). More shares, same money — happens automatically.

Reverse split 1-for-10. 500 shares at £2 (= £1,000) become **50 shares at £20** (= £1,000). Fewer shares, higher price.

Bonus / capitalisation issue 1-for-4. Hold 400 shares → receive **100 free shares** → now 500. No cash paid; the company just moved reserves into share capital, so the price drifts down and your total value is unchanged.

Cash dividend. Hold 1,000 shares, dividend £0.30 → **£300 cash** lands on pay date. No action needed from you.

3 · Impact on shareholder equity (the accounting view)

Interviewers love this because it proves you understand the *substance*, not just the plumbing. Shareholder equity = **share capital + share premium + retained earnings + other reserves**. Here is what each event does to it.

Event	Effect on total shareholder equity	What moves inside equity
Cash dividend	Decreases — cash (asset) leaves and retained earnings fall by the same amount.	Retained earnings ↓. On declaration a dividend-payable liability is booked.
Bond coupon / interest	Not equity — it's the issuer's expense reducing profit; for the <i>holder</i> it's income. Bondholders aren't shareholders.	Issuer P&L: interest expense ↑, profit ↓ (which later reduces retained earnings).
Bonus / capitalisation issue	No change to total . Purely internal reshuffle.	Reserves ↓, share capital ↑ by the same amount.
Stock / scrip dividend	No cash impact (if all-scrip). Retained earnings capitalised into shares.	Retained earnings ↓, share capital + premium ↑.
Stock split / reverse split	No change . Only the number of shares and par value change.	Nothing moves between reserves; par value per share adjusts.
Rights issue (taken up)	Increases — new cash comes in from shareholders.	Cash ↑; share capital ↑ (par) + share premium ↑ (excess over par).
Return of capital / capital repayment	Decreases — capital handed back to holders.	Share capital / reserves ↓; cash ↓. Not from profits.
Share buyback / repurchase	Decreases — company buys its own shares.	Cash ↓; treasury shares ↑ (contra-equity) or capital cancelled.
Redemption / maturity of a bond	No equity effect — repays debt ; a liability is discharged.	Cash ↓, borrowings (liability) ↓.
Merger / spin-off	Depends on structure; can move reserves, create/eliminate share capital, or transfer net assets out.	Consolidation/de-consolidation of the relevant equity lines.

Two mental hooks that always land:

- **Real value leaving the company** (cash dividend, buyback, return of capital) ⇒ **equity falls**.
- **Just re-labelling what's already inside** (bonus issue, split, scrip) ⇒ **total equity unchanged**, only the internal split of capital vs reserves and the share count move.

And the classic exam line: after a bonus issue or split, an investor is **no richer** — more shares × lower price = same wealth. The value comes from future earnings, not from the event itself.

4 · Key dates you must never confuse

Date	What it means	Why the BA cares
Announcement / Declaration date	Issuer/board publicly announces the event and its terms.	Trigger to capture the event and build the golden record.
Ex-date (ex-dividend)	First day the security trades <i>without</i> the benefit. Buy on/after ex-date → you do not get it.	Drives market claims : mismatch between who traded and who's on the books.

Record date	Snapshot day: whoever is the registered/settled holder at close is entitled.	The single source of truth for entitlement. Positions must be final & settled.
Election / Response deadline	Last day the holder can instruct a choice (for CHOICE/VOL events).	The custodian's deadline is <i>earlier</i> than the market's (a buffer) — SLA-critical.
Payment / Pay date	Day cash or shares are actually distributed.	When entitlements post; recon and funding happen around it.
Guaranteed participation / market deadline	The CSD/agent's own cut-off.	Miss it and the client loses the entitlement — pure operational loss.

The ex-date vs record-date trap (know cold): ex-date normally sits **one business day before** record date under a T+1/T+2 settlement cycle, so trades done before ex-date still settle in time to be on record. When a trade settles *after* record date but was executed before ex-date, the buyer is economically entitled but not on the register → a **market claim** is raised to move the dividend from seller to buyer.

5 · Who's who — the settlement chain

Income flows **down** this chain from issuer to end investor; instructions and elections flow **up**.

Issuer → **Issuer's (paying) agent / registrar** → **CSD** (e.g. Euroclear, DTCC, Clearstream, NSDL/CDSL) → **Global custodian** → **Sub-custodian / local agent** → **Broker / investment manager** → **End investor**

Party	Role in income processing
Issuer & paying agent	Declare the event, define terms, fund and pay it to the CSD.
CSD / depository	Holds securities centrally, distributes to participants pro-rata to their holdings, issues the official notification.
(Sub-)custodian — your bank	Captures event, notifies clients, collects elections, calculates each client's entitlement, receives & on-pays cash/stock, handles tax & claims, reconciles.
Broker / investment manager	Instructs elections on behalf of underlying funds/clients; deals with trading-related claims.
End investor / beneficial owner	Receives the net entitlement; their tax status drives withholding & reclaim.

6 · The income processing lifecycle — stage by stage

This is the heart of the role. Learn the stages as a story; each stage is a place where a BA writes rules and a system does work.

Stage 1 — Event capture & the golden record

- Sources: issuer/agent notices, the CSD, and market-data vendors (**SIX, Bloomberg, Refinitiv, ICE**). Multiple sources rarely agree perfectly.
- The BA defines **scrubbing / validation** rules: which source wins field-by-field, tolerance checks, and when a human must review. The clean, trusted result is the **golden record** .
- Captured data: event type, ISIN, rate/ratio, currency, all key dates, options, conditions, tax rate.

Failure mode: a wrong rate or date in the golden record propagates to every downstream calculation — so capture is where most control effort is spent.

Stage 2 — Notification / announcement to clients

- The bank sends the event out to clients, typically as a **MT564** (ISO 15022) or **seev.031** (ISO 20022) message, plus portal/API.
- For CHOICE/VOL events the notice states the options, the terms of each, the **default option**, and the **response deadline**.

Stage 3 — Entitlement & eligibility (position capture)

- On **record date** the system snapshots each client's **settled position**. Only settled, eligible holdings count.
- Adjustments: pending settlements, lent-out stock (**securities lending → manufactured dividend**), pledged/collateral positions, fractions.
- Output: a per-client eligible balance that feeds the calculation.

Stage 4 — Election capture (CHOICE / VOL only)

- Clients instruct via **MT565** / **seev.033** . The bank validates the option code, quantity, and that it arrived before the **internal deadline** (set earlier than the market's for a buffer).
- No instruction by deadline → apply the **default**. Late/invalid instructions → best-efforts or rejection per SLA.
- Partial elections (split across options) and reversibility rules must be handled.

Stage 5 — Entitlement calculation

- Cash: $\text{eligible units} \times \text{rate}$ (with day-count for interest: **30/360, ACT/360, ACT/ACT**).
- Stock: $\text{eligible units} \times \text{ratio}$, then apply the **fractions policy** — round down and pay **cash-in-lieu** for the residual, or round per rules.
- Apply **tax** (Stage 7) to get the **net** entitlement. Currency conversion (**FX**) if the pay currency differs from the client's.

Stage 6 — Payment / posting & funding

- The bank receives the gross amount from the CSD/agent on pay date and posts each client's net entitlement to cash or stock accounts.

- **Actual vs contractual settlement:** pay clients when the market actually pays (**actual**), or on the scheduled date regardless (**contractual settlement date** — the bank fronts the cash and takes the risk). A key product/policy decision.
- Confirmation to clients via **MT566** / `seev.036`.

Stage 7 — Tax processing

- **Withholding tax** deducted at source by rate driven by the security's country and the investor's residence/status.
- **Relief at source** (correct lower treaty rate applied upfront) vs **quick refund** vs **long-form reclaim** (claim back over-withheld tax later).
- The BA models the **tax rate matrix** (jurisdiction × investor type × treaty), documentation (e.g. tax residency certificates), and the reclaim workflow & ageing.

Stage 8 — Reconciliation

- **Cash recon:** money received from agent = sum of client entitlements + tax + fees. Any break is investigated.
- **Stock/position recon:** holdings on our books = holdings at the CSD/sub-custodian (**depot reconciliation**).
- **Entitlement recon:** what we calculated vs what the market actually paid. Breaks → claims or adjustments.

Stage 9 — Claims & compensation

- **Market claims:** reallocate an entitlement between buyer and seller when a trade straddles the ex/record date. Raised, matched, and settled (often auto by the CSD, e.g. T2S).
- **Reverse claims, transformations** (a pending trade on a security under reorg is repriced/converted), and **compensation** for the bank's own errors.

Stage 10 — Reporting, books & records, audit

- Client reporting (entitlements, tax vouchers), internal MI, regulatory reporting, and a full **audit trail** from announcement to payment.
- Retention, reconciled ledgers, and evidence for controls testing.

Say the lifecycle as one breath: Capture → Notify → Entitle → Elect → Calculate → Pay → Tax → Reconcile → Claim → Report. Ten stages, and a BA can own requirements for any one of them.

7 · Tax — the part people underestimate

Concept	Plain meaning
Withholding tax (WHT)	Tax the source country takes out of a dividend/coupon <i>before</i> it reaches the investor.
Statutory vs treaty rate	Default local rate vs a lower rate under a double-tax treaty if the investor qualifies and is documented.
Relief at source	Correct lower rate applied on pay date — best client outcome, needs docs ready in time.
Quick refund	Over-withheld amount refunded shortly after pay date within a market window.
Standard / long-form reclaim	File a claim months/years later to recover over-withheld tax; ages on the books until paid.
Manufactured dividend	When stock is on loan over record date, the borrower pays the lender a substitute payment — different tax treatment.

BA relevance: the tax matrix and reclaim ageing are frequent change requests (new treaties, new markets, regulatory changes like 871(m), FATCA/CRS reporting hooks). Getting a client's tax status wrong is both a financial and a reputational hit.

8 · Market claims & compensation — the worked example

Scenario. Ex-date is Tue, record date Wed. Client A **sells** 1,000 shares to Client B on Monday (cum-dividend — before ex-date), but the trade settles Thursday (after record date). On record date the shares are still registered to A, so the issuer pays the dividend to A. But B bought them **with** the dividend rights.

Resolution. A **market claim** is raised to move the dividend from A to B. The CSD (or the two custodians) match and settle the claim so B ends up with the cash. If the direction is reversed (trade ex-dividend but settled to the wrong party), it's a **reverse claim**. If a corporate action changes the security while a trade is pending, the trade is **transformed** to the new terms.

Interview hook: "A market claim exists because the register and the economics disagree for trades that straddle the ex/record dates. It's how we make sure the dividend follows the economic owner, not just the registered one."

9 · Messaging — the language of CA processing

ISO 15022 (MT)	ISO 20022 (equivalent)	Purpose
MT564	seev.031 / seev.035	Corporate action notification (and reminder) to the client.
MT565	seev.033	Client's election / instruction for a choice/voluntary event.
MT566	seev.036	Confirmation that cash/stock has been paid.
MT567	seev.034	Status / processing advice (accepted, rejected, pending) on an instruction.
MT568	seev.038	Narrative / additional free-text detail.

Why the BA cares: the industry is migrating from ISO 15022 (MT, tag-based) to ISO 20022 (XML, richer & structured).

Mapping fields between the two, handling both in parallel, and adopting the **SMPG / CAJWG market-practice** standards are common project themes. Knowing MT564/565/566 by heart signals real domain fluency.

10 · Risks & the controls that catch them

Risk	Control the BA builds in
Wrong event data (rate/date/ratio)	Multi-source scrubbing, tolerance checks, four-eyes review on high-value events.
Missed election deadline → client loss	Internal deadline buffer before market cut-off; escalation & chaser workflow; default option applied.
Wrong entitlement calculation	Independent recalculation, calc-vs-market recon, sign-off thresholds.
Overpayment / paying before funds received	Contractual-vs-actual settlement policy, funding checks, provisioning.
Tax over/under-withheld	Maintained tax matrix, documentation checks, reclaim ageing MI.
Position not final on record date	Settled-position snapshot, lending/collateral adjustments, depot recon.
Missed / mismatched market claim	Automated claim detection vs ex/record dates, matching & ageing reports.
Unreconciled breaks	Daily cash & stock recon with break investigation SLAs.

Frame for interview: corporate actions is often called the **highest-operational-risk area in securities services** — high value, short deadlines, manual data, many parties. That's exactly why firms invest in automation and why a strong BA/PO is valuable.

11 · The BA / Product Owner angle

What you actually do

- Turn market practice + client SLAs into **requirements**, **user stories**, and **acceptance criteria** for the CA platform.
- Own the **product backlog**, prioritise (value vs risk vs regulatory deadline), and run refinement with ops, dev, QA.
- Write **data mappings** (MT ↔ ISO 20022), **business rules** (scrubbing, defaults, fractions, tax), and **process flows**.
- Support **UAT**, reconciliation of test results, and the migration/change (e.g. new market onboarding, T2S, 20022 adoption).

User-story examples (say these to show you can write them)

• **As** an operations analyst, **I want** the system to apply the default option automatically when no client election is received by the internal deadline, **so that** no entitlement is lost.

Acceptance: default applied only after internal deadline; audit entry created; client notified via MT567.

• **As** a tax analyst, **I want** withholding calculated from the jurisdiction × investor-type matrix, **so that** net entitlements are correct and reclaimable amounts are flagged.

Acceptance: treaty rate applied where documentation valid; else statutory rate; reclaim record created for the difference.

KPIs / MI a PO watches

- **STP rate** (straight-through processing — % of events needing no manual touch).
- Election capture rate & missed-deadline count · claim ageing · recon break ageing · tax-reclaim recovery time · number/value of compensation events.

12 · Glossary + likely interview questions

Fast glossary

- **Golden record** — the single trusted version of the event.
- **STP** — straight-through, no manual intervention.
- **Ex-date** — trade after it and you miss the benefit.
- **Record date** — entitlement snapshot day.
- **Entitlement** — what a holder is owed from the event.
- **Election** — the holder's choice on a CHOICE/VOL event.
- **Default option** — applied if no election received.
- **Cash-in-lieu** — cash paid for fractional shares.
- **Market claim** — reallocates a benefit for straddling trades.
- **Transformation** — pending trade repriced under a reorg.
- **WHT** — withholding tax at source.
- **Manufactured dividend** — substitute payment on lent stock.
- **CSD** — central securities depository.
- **Day-count** — interest accrual basis (30/360, ACT/ACT...).

Questions to rehearse

Q. Walk me through the income processing lifecycle.

Use the 10-stage story in §6, one line each.

Q. Difference between mandatory, choice, and voluntary?

Automatic vs needs-election vs opt-in; defaults & deadlines (§2 box).

Q. How does a cash dividend affect shareholder equity?

Retained earnings ↓, cash ↓; liability booked on declaration (§3).

Q. Ex-date vs record date — and why market claims exist?

Register vs economics disagree for straddling trades (§4, §8).

Q. What could go wrong and how do you control it?

Pick 3 from the risk table (§10) with the control.

Q. MT564 vs MT565 vs MT566?

Notify · Instruct · Confirm (§9).

Q. Why is CA high operational risk?

High value, tight deadlines, manual data, many parties (§10).

One closing line for the room: "Income processing is a promise that every holder gets exactly the right value, on the right day, taxed correctly and reconciled to the penny — across a chain of parties who each hold a piece of the truth. My job as a BA/PO is to turn that promise into rules, data and controls the platform can run at scale, and to keep improving STP while protecting against the operational risk this space is known for."

Prepared as an interview study digest. Terminology follows common custody/securities-services and SMPG/ISO market practice; specific rules (dates, tax, deadlines) vary by market and by firm — confirm against UBS's own operating model where relevant.